

Technical Reference: General Rules for the Interpretation of the Harmonized System (GRI)

Overview and Legal Framework

The General Rules for the Interpretation (GRI) of the Harmonized System (HS) are the six fundamental principles used globally to classify goods. They must be applied in sequential order (1 through 6), with the exception of Rule 6, which governs subheading classification once the heading is established.

GRI 1: Primary Classification Principle

Legal Text: "The titles of Sections, Chapters and sub-Chapters are provided for ease of reference only; for legal purposes, classification shall be determined according to the terms of the headings and any relative Section or Chapter Notes and, provided such headings or Notes do not otherwise require, according to the following provisions."

Technical Implementation Notes:

- **The "Heading" Rule:** Classification is first attempted at the 4-digit heading level.
- **Legal Precedence:** Section and Chapter Notes are legally binding and take precedence over the GRI itself.
- **Limitation:** If the text of a heading and its associated notes clearly identify the product, the classification process ends at GRI 1.

GRI 2: Incomplete, Unassembled, and Mixtures

GRI 2(a): Incomplete or Unfinished Goods

- **Application:** Goods presented in an incomplete or unfinished state are classified as the finished product IF they have the "essential character" of the finished article.
- **Unassembled Goods:** Goods presented unassembled or disassembled (for transport/storage convenience) are classified as the complete article.
- **Example:** A bicycle missing its saddle is still a bicycle (87.12).

GRI 2(b): Mixtures and Combinations

- **Application:** Any reference to a material or substance includes mixtures of that material with other substances.
- **Conflict Trigger:** If GRI 2(b) results in a product potentially fitting into two or more headings, the classifier MUST move to GRI 3.

GRI 3: Conflict Resolution for Multiple Headings

When goods are prima facie (at first sight) classifiable under two or more headings, GRI 3 provides a three-step hierarchy.

GRI 3(a): Specificity (The Specificity Rule)

- **Principle:** The heading providing the most specific description shall be preferred to headings providing a more general description.
- **Exception:** If two headings each refer to only part of the materials in a mixed good or set, they are considered equally specific; move to 3(b).

GRI 3(b): Essential Character (The "Soul" of the Product)

- **Application:** Applies to mixtures, composite goods consisting of different materials, and goods put up in sets for retail sale.
- **Criteria:** Classify based on the component that determines the "essential character" (determined by bulk, quantity, weight, value, or role in the product's function).
- **Sets for Retail Sale:** Must consist of at least two different articles, be put up together to meet a specific need/activity, and be suitable for sale directly to users.

GRI 3(c): Last in Numerical Order (The "Tie-Breaker")

- **Principle:** When 3(a) and 3(b) fail, the goods shall be classified under the heading which occurs last in numerical order among those which equally merit consideration.

GRI 4: The "Most Akin" Principle

Legal Text: "Goods which cannot be classified in accordance with the above Rules shall be classified under the heading appropriate to the goods to which they are most shipments akin."

- **Context:** This is a "rule of last resort." It is almost never used in modern trade as the HS is regularly updated to include new technologies.

GRI 5: Specialized Packaging and Containers

GRI 5(a): Specific Containers

- **Criteria:** Cases for cameras, musical instruments, guns, etc., are classified with the item they contain if they:
 1. Are specially shaped or fitted.
 2. Are suitable for long-term use.
 3. Are presented with the article.
- **Exception:** Does not apply to containers which give the whole its essential character (e.g., a silver decorative box containing cheap tea).

GRI 5(b): Packing Materials and Containers

- **Principle:** Standard packing materials (cardboard, plastic wrap) are classified with the goods.
- **Non-repetitive use:** This rule does not apply to containers clearly suitable for repetitive use (e.g., steel gas cylinders or shipping containers).

GRI 6: Subheading Classification (Hierarchical Comparison)

Legal Text: "For legal purposes, the classification of goods in the subheadings of a heading shall be determined according to the terms of those subheadings and any related Subheading Notes..."

Critical Logic for LLM Classification:

1. **Vertical Consistency:** Only subheadings at the same level (e.g., 1-dash vs 1-dash) are comparable.
2. **Heading Priority:** You must find the correct 4-digit heading using GRI 1-5 before considering GRI 6 for the 6-digit subheading.
3. **Note Hierarchy:** Subheading Notes take precedence over Section/Chapter Notes if there is a conflict at the 6-digit level.

Summary Flowchart for Classification Logic

1. Start at **GRI 1**: Does the heading text or Chapter Notes explicitly name the product?
2. If incomplete or unassembled, apply **GRI 2(a)**.
3. If a mixture/composite, does **GRI 2(b)** trigger a conflict?
4. If conflict exists, use **GRI 3(a)** (Specificity), then **GRI 3(b)** (Essential Character), then **GRI 3(c)** (Highest Number).
5. If no heading fits, use **GRI 4** (Most Akin).
6. Check packaging/cases with **GRI 5**.